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Student activity

Imagine that you start a small shop with an investment of ` 10,000. Record imaginary business transactions for 10 days [include cash and credit transactions]. Prepare journal, ledger and trial balance with them.



Mary runs a textile store. She has prepared the following trial balance from her ledger balances. Her trial balance does not tally. She needs your help to check whether what she has done is correct.

S. No.	Name of account	L.F.	Debit balance `	Credit balance `
1	Capital		50,000	
2	Discount received			3,000
3	Rent paid			15,000
4	Salaries paid		1,000	
5	Purchases of textiles			20,000
6	Sale of textiles			30,000
7	Salesmen commission paid			9,000
8	Transport charges paid		6,000	
9	Cash balance		32,000	
	Total		**89,000**	**77,000**

To explore further

Is it possible to find out the profit earned by the business by preparing trial balance? What can be done to know the profit?

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